



THINKING STRATEGICALLY: Partnership Formation

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Mark Zuckerberg.

PROBLEM In December 2002, while they were undergraduate students at Harvard, brothers Cameron and Tyler Winklevoss and Divya Narendra developed a business plan for a new type of website called ConnectU.com that would allow students and alumni of a college to create a social network. To help them with the technical aspects of the website, they employed their friend and fellow classmate Victor Gao. Gao was unable to complete the coding for the site due to personal obligations and recommended that ConnectU contact another Harvard student named Mark Zuckerberg.

STRATEGIC SOLUTION Gao met Zuckerberg in his dorm room sometime around November 9, 2003. According to Gao:

During this meeting with Zuckerberg, I explained to him the compensation structures offered by the Founders [the Winklevosses and Narendra]. As requested by the Founders, I told him that they would either pay him on a rolling basis or take him on . . . with the possibility of taking an equal stake as each member of the Founders in the project. He became visibly excited. He told me that he wanted the latter option, and wanted to become a member of the Harvard Connection team because he thought the Harvard Connection website had the potential to reach out to a very large user base.¹⁶

Narendra later recalled a meeting where he and the Winklevosses met Zuckerberg in his dorm room sometime in December 2003. According to Narendra, “the four of us discussed ideas for the site’s development as well as what was needed to be done in order to complete the site by our proposed launch deadline, the end of 2003.” Narendra stated that Zuckerberg appeared enthusiastic at this meeting and continually referred to the team as “we” and suggested ideas on how “we should develop the website.”¹⁷

According to the Winklevosses, Zuckerberg emailed on various occasions detailing how he was working on the ConnectU software code and website. Zuckerberg, however, never produced the code. When the Winklevosses inquired about the delays, Zuckerberg replied via email: “I’m completely swamped with work this week. I have three programming projects and a final paper due by Monday, as well as a couple of problem sets due Friday.”¹⁸ The group met again in mid-January 2004. As Narendra recalled:

At this meeting, Zuckerberg was noticeably less enthusiastic about the enterprise and stated that he had many personal projects which required his time. When pressed about completing the [ConnectU] website, he told us that he would be able to do so, but only after completing these other projects.¹⁹

On January 11, 2004, Zuckerberg registered the domain name TheFaceBook.com, and on February 4 of that year he launched thefacebook.com independently with a different group of collaborators. The ConnectU team found out about this after the *Harvard Crimson* student newspaper ran a story about the rapid growth and popularity of thefacebook.com among the student body.²⁰

Questions

1. How would you respond to Zuckerberg’s actions if you were a partner in the ConnectU team?
2. Given these facts, was Zuckerberg a partner of ConnectU? Explain how the three elements of partnership relate to your answer.
3. If a partnership was created, would it be classified as an express or an implied partnership?
4. Which of the fiduciary duties would ConnectU claim that Zuckerberg violated? Explain whether you think this duty was violated.
5. Who benefited from the fact that a partnership agreement was never created between the parties?
6. The ConnectU founders eventually sued Zuckerberg and Facebook. The case then settled. If you were Facebook, why would you settle? How much would you pay to settle this case? Would your settlement offer change if Facebook were contemplating a public stock offering? Explain.